

CIMA STRATEGIC CASE STUDY

MOCK EXAM 2 (FEBRUARY 2025)

EXAMPLE ANSWER



Example Answer for Task 1

Sub task 1 (a):

Internal control tests for staff compliance

To ensure that staff are complying with internal controls, the Internal Audit department can implement a variety of tests. These tests will help identify any gaps or weaknesses in the control environment and ensure that established protocols are being followed.

Phishing simulations

Conducting regular phishing simulations can test employees' ability to recognise and respond to social engineering attempts. Monitoring the results and providing additional training to those who fail the tests will help reinforce awareness and understanding of social engineering tactics.

Authorised access

Audit department should regularly review access logs to ensure that only authorised personnel have accessed sensitive systems and data. This includes investigating any anomalies or unauthorised access attempts. Ensuring that [access permissions are aligned with job roles and responsibilities](#) is crucial.

Random verification checks

Performing random verification checks can ensure that employees are following verification protocols when granting access to sensitive information. This can include contacting employees to verify that they followed proper procedures and adhered to established protocols.

Patterns of repeated issues

Reviewing incident reports will ensure that employees are [reporting suspicious activities and that these reports are being handled appropriately](#). Looking for patterns or repeated issues may indicate a need for [additional training or changes to protocols](#).

Monitor effectiveness of training

[Conducting surveys to assess the effectiveness of training programmes](#) can be beneficial. Asking employees about their [understanding of social engineering risks and their confidence in handling such attempts](#) will help identify areas where further training may be needed.

Compliance audits

Including [social engineering prevention measures in regular compliance audits](#) is essential. Verifying that all controls are in place and functioning as intended can involve reviewing documentation, conducting interviews with staff, and observing processes to ensure compliance.

Sub task 1 (b):

Disciplinary Actions for Breach of Controls

Evaluating the argument that any staff member who is found by our Internal Audit department to have been in breach of controls should be disciplined requires careful consideration of several factors.

Arguments for

Implementing disciplinary actions for breaches of controls can act as a deterrent to other employees. Knowing that there are consequences for non-compliance can encourage staff to adhere to established protocols. Disciplinary actions also reinforce the principle of accountability.

Employees are more likely to take their responsibilities seriously if they know that they will be held accountable for their actions. Ensuring that breaches of controls are addressed promptly helps maintain the integrity of the organisation's control environment. It sends a clear message that non-compliance will not be tolerated.

Arguments against

However, disciplinary actions can negatively impact employee morale, especially if they are perceived as punitive rather than corrective. It is important to ensure that disciplinary measures are fair and proportionate to the breach.

There is a risk that disciplinary actions could be taken against employees who made unintentional errors rather than wilful breaches. It is crucial to differentiate between mistakes and deliberate non-compliance.

Disciplinary actions must be carried out in accordance with employment laws and organisational policies. Mishandling disciplinary actions could lead to legal challenges and damage the organisation's reputation.

Sub task 1 (c):

Recommendations to address threats arising from poor governance

The incident described in the internal audit report highlights potential governance issues that may have contributed to the security breach. Notably, there is currently no one on the Board with responsibility for IT. To address these threats arising from poor governance, several responses can be recommended.

Timely awareness by the BOD

Enhancing Board oversight and involvement in IT and cybersecurity matters is crucial. The Board should receive regular updates on IT security risks and the measures being taken to mitigate them. This ensures that the Board is informed and can provide strategic direction on cybersecurity matters. Establishing clear lines of communication between the IT department and the Board will ensure that any emerging threats are promptly reported and addressed.

Dedicated IT governance committee

Establishing a dedicated IT governance committee within the Board can help focus attention on IT and cybersecurity issues. This committee should include members with expertise in IT and cybersecurity to provide informed oversight and guidance. The committee's responsibilities should include reviewing IT policies, overseeing cybersecurity initiatives, and ensuring that the organisation is compliant with relevant regulations and standards.

Robust risk management framework

Implementing a robust risk management framework that includes IT and cybersecurity risks is essential. This framework should identify, assess, and prioritise risks, and outline the strategies and controls in place to manage them. [Regular risk assessments](#) should be conducted to ensure that [emerging threats are identified and addressed promptly](#). The risk management framework should be integrated into the overall corporate risk register to provide a holistic view of the organisation's risk landscape.

Corporate culture and training

Fostering a culture of compliance and security within the organisation is important. This involves promoting awareness of cybersecurity risks and [encouraging employees to take responsibility for protecting sensitive information](#). [Regular training and communication on cybersecurity best practices](#) should be provided to all staff. Employees should be encouraged to report any suspicious activities or potential security breaches without fear of retaliation. [Creating a culture where security is everyone's responsibility will help mitigate the risk of social engineering attacks](#).

Incident response plan

Rotomyne should implement a robust incident response plan. This plan should outline the steps to be taken in the event of a security breach, including [communication protocols, roles and responsibilities, and procedures for containing and mitigating the impact of the breach](#). Regular drills and simulations should be conducted to ensure that all relevant personnel are familiar with the incident response procedures.

Industry best practices and independent certification

Ensuring that [governance policies and procedures are up to date and aligned with industry best practices is critical](#). This includes [reviewing and updating policies related to data access, incident reporting, and employee conduct to ensure they reflect the current threat landscape and regulatory requirements](#). The organisation should also [consider seeking external certifications](#), such as ISO 27001, to demonstrate its commitment to information security and governance.

Example Answer for Task 2

Subtask 2 (a):

JV corporate governance requirements: NEDs

Good corporate governance would be required for the JV in order to manage strategic risks effectively. It would reduce risks for our shareholders and other stakeholders (e.g. the Drylandian government and the local community). In addition, it would **enhance transparency and would allow for timely and clearer communication of information**. It would also improve the performance and leadership of the JV's Board.

Key roles of NEDs:

As per the corporate governance requirements, there are a number of key roles the non-executive director (NED) would need to undertake in the JV. These consist of **a strategy role, a scrutinising role, a risk role and a people role**. These are discussed below.

In the strategy role, the NED must **challenge and advise** on JV's strategy as well as contribute towards strategic success. In the **scrutinizing** role, the NED must hold all our JV's executive directors accountable for decisions that have been made and the results achieved. **For instance, if the JV's Board plans on using debt to finance the DLE plant, the NEDs should challenge this to ensure that it is the right decision.**

In the risk role, the NED should ensure that **an adequate system of internal controls and risk management systems are in place at the JV entity**. At Rotomyne, **we report our principal risks in the annual report, and we also have a risk committee. This good practice should be replicated in the JV entity**. In addition, given the strategic risks we would face as a result of the DLE plant project, **it is also recommended that the effectiveness of the risk committee should be monitored**.

In the people role, the NED should **oversee the appointment and remuneration of executive directors as well as get involved in contractual and disciplinary issues**. As the JV entity is yet to be set up, it **would be more convenient and faster** for Rotomyne's current appointment and remuneration committees to hire and set the pay of the JV's executives (discussed later).

Independence of NEDs:

It is a corporate governance requirement that **NEDs are independent so that they represent the interests of the shareholders**. The main ways the corporate governance guidelines judge an NED's independence are as follows:

- The NED has not been a company employee **within the last five years**;
- The NED has no **close family ties**;
- The NED does not **hold cross-directorships**;
- The NED is not a **major shareholder**;
- The NED has not served on the Board **for more than nine years since the first appointment**;
- The NED does not have a **material business relationship within the last three years**.

In terms of the JV, it is recommended that the above checks are to be applied to prospective JV NEDs to **ascertain their independence**. It is also recommended that we check that **none of the NEDs have a major shareholding in the JV**. We should also check they do not have cross-directorships, as this would impact their independence. A cross-directorship exists

when two (or more) directors sit on the Board of the other. In the majority of cases, each director's 'second' Board appointment is most probably as an NED.

Skills of NEDs:

The corporate governance guidelines require the use of skilled NEDs as well as the NEDs having [complementary skills](#). This is to overcome the risk of a lack of wider business knowledge on the board and a lack of diversity in decision-making. It is sound corporate governance to have at least one NED with financial skills, too.

In terms of the JV, we would seek an NED with [financial knowledge, preferably an accountant or similar](#). This would help with the [financial forecasts and managing the JV finances](#). We should also have an NED with experience in the lithium mining industry to help in decision-making.

Balancing Board with NEDs:

The corporate governance guidelines stipulate that the Board should include a balance of executive directors and NEDs. This is an attempt to reduce the unfavourable balance of power held by executive directors. [As such, at least half the Board \(excluding the Chair\) should consist of independent NEDs.](#)

The JV would have executive directors from both the JV partner and Rotomyne. It follows that, to balance them, we would need the same number of NEDs. The recruitment of the NEDs should not be done in haste but rather a planned recruitment of the right individuals. [The NEDs would provide the JV entity with sound, independent business advice and expertise to help the JV prosper and succeed.](#) They bring their knowledge and experience free from any conflict of interest.

Rotomyne currently has [two non-executives and one independent director](#). However, due to the Board being inundated, the non-executives for the JV would need to be externally hired. Achieving a balanced JV Board (in terms of skills, experience and diversity) is difficult, so the proper selection of non-executive directors is important.

During the selection process, it would be a good idea to list down details of personal and commercial qualities that we would like the potential candidates to possess. [We could use an external third party, such as a specialist recruitment service or a register of suitably qualified individuals, to find suitable candidates.](#) The recruitment of the NEDs for the JV could prove to be expensive. However, the investment would allow the JV to abide by the corporate governance guidelines and bring in new skills.

JV corporate governance requirements: Committees

Assuming that the JV entity would have to meet the requirements of governance (similar to that of the UK), then it would need a Board of Directors and committees. [There are three main committees under corporate governance: the nominations committee \(director appointments\), the audit committee \(financial reporting and control\), and the remuneration committee \(director pay and benefits\).](#) These are discussed in detail below.

Nominations committee:

A nominations committee would need to be established to ensure proper procedures are in place for [the appointments and re-election of the JV's directors](#). This committee [evaluates the directors and examines the skills and characteristics that are needed in Board candidates.](#)

The nominations committee sets the policies surrounding Board appointments, specifying the required skills and experiences that appointees must have to complement the skills and experiences of the current directors. This committee ensures the integrity, diversity and balance (skills, experience and knowledge) of the Board.

Both Rotomyne and the JV partner would need to add an equal number of directors to the JV's Board (based on their equal control). Depending on the size of the JV's Board, Rotomyne would need to put in place several executive (and non-executive) directors.

As Rotomyne's Board is busy, it would not be possible for the current Board members to take on the extra responsibilities of the JV. As such, additional appointments would need to be made by the Rotomyne's Board. Our current nominations committee should lead the recruitment of our JV directors. This should be done after a discussion with the JV partner to understand what director roles are required of us to complement those of the JV partner.

We should also look at our proposed JV executive directors and then list what we would like in terms of skills in our JV's non-executive directors. This is in order to balance the skills on the JV's Board. In addition, we would need to assign some of these non-executive directors and directors to the JV's nominations committee. It should consist of three directors and only two if it is a smaller company. The Chair cannot be a member of this committee, and the majority of this committee should be non-executives.

Audit committee:

Based on the corporate governance code, an audit committee would need to be established to oversee the JV's responsibilities related to financial reporting, internal control systems, risk management processes, internal audit functions and the supervision of external audit relationships. It has to be independent and have no bias in its decision-making.

The audit committee is entirely made up of non-executive directors. It normally consists of three independent non-executive directors and only two if it is a smaller company. The chair of the Board should not be a member. Also, at least one member of the audit committee should have recent and relevant financial experience. In addition, the committee as a whole should have competence relevant to the sector in which the company operates.

Once again, depending on the size of the JV's Board, we would need to put in place either two or three non-executive directors. We currently have three non-executives on Rotomyne's audit committee, but as they are busy, we would have to resort to external hiring for the JV's audit committee.

The audit committee promotes impartiality, objectivity and transparency whilst ensuring that the controls and processes are regularly monitored and reviewed. This is something we should consider when recruiting a new non-executive director to join the JV's audit committee.

Remuneration committee:

A remunerations committee would need to be established to determine the pay awards and packages for the JV's executive directors. This committee would be accountable to the shareholders on any decisions made regarding directors' compensation. We should structure our remuneration in a way that is transparent and equitable. This would help us gain the trust of our staff and prepare us for future shareholder scrutiny.

The size of the JV's remunerations committee would be three for a large JV Board or two for a smaller one. The committee would be made up of all non-executive directors. As

mentioned before, since our existing non-executive directors are stretched, we would have to resort to external hiring for this committee, too.

Additionally, the Chair of the JV's remunerations committee cannot be the same as the Chair of the JV's Board. Also, prior to the appointment as Chair of the JV's remuneration committee, the appointee should have served on a remuneration committee for at least 12 months.

Sub task 2 (b):

Managing political risks via a JV

JVs are a useful way for companies to expand internationally and share risks and returns. For example, in 2023, the French lithium miner Imerys formed a JV with the UK company British Lithium. The JV aims to generate 20,000 tonnes of lithium carbonate a year from granite deposits in Cornwall. Imerys has an 80:20 stake in the JV with British Lithium.

We will seek a JV with a local Drylandian company to help secure and retain the licence to extract lithium and construct a DLE plant. A JV has the benefit of not only sharing resources but also sharing (and hence reducing) risks. A JV arrangement would be useful to us as Dryland is politically unstable. A JV can reduce political risk by:

- Reducing and safeguarding funding, i.e. the capital invested in the foreign country;
- Helping to acquire and keep hold of the lithium extraction licence;
- Using local knowledge to understand the political risks we face and
- Allowing us to have business ownership/control in a foreign country.

Funding: If our JV partner and we contribute a share of the funding for the venture (i.e. the DLE plant project), the investment at risk for us would be limited to our share of the total investment. Note that the upside would also be reduced because we would have less invested in the potentially lucrative project.

Awarding of a lithium extraction licence: If a local Drylandian company was selected as a JV partner, the chances of us being awarded the extraction licence may be much greater. We also do not have experience with the DLE method. As such, a suitable, high-profile, experienced local JV partner would help in mitigating the risk of us not being awarded the licence (if we had pitched for it alone).

Local knowledge of political risks: The local Drylandian JV partner would have a better understanding of the local political risks and would be able to manage the risks more effectively than we would be able to. For example, the local JV partner may be able to better gauge if the current government would lose the upcoming election.

Additionally, the current government of Dryland might be less inclined to act against the interests of the local JV partner. For example, supporting the JV by expediting planning permission, charging less royalties and tax, and providing subsidies and grants).

Ownership/control of the JV entity: The government may be hesitant to allow us to set up a fully owned company/subsidiary in Dryland. They would be more inclined for us to have ownership if it was a JV entity and partly owned by a locally based JV partner.

We could also have an agreement in place that, over time, we would transfer all or the majority of our stake to the JV partner. This would show the government that we are looking at supporting the country in the long term and not just profiting from it in the short term.

Sub task 2 (c)

Sustainability training: evaluation and recommendation

Benefits of sustainability training:

Sustainability, which is part of Corporate Social Responsibility (CSR), is a key factor in the future success of the DLE project and our other projects, and as such, we need to be skilled in it. Sustainability also features prominently in our values (e.g. [operating in a sustainable manner](#)).

The end consequence of sustainability training should be a company with [a good CSR foundation and employees who are all aware of their responsibilities](#). Acting socially responsible is the right thing to do, and it also offers [reputational advantages](#), which can also help secure future sustainability-driven lithium extraction projects.

This is particularly pertinent as Rotomyne's mission "[is to power consumers' lives in a world that is clean, healthy and sustainable](#)". Also, in addition to sustainability, ethics are part of our values (e.g. to act ethically and honestly).

Therefore, all staff (i.e. from research to sales) [must be responsible and aware of sustainability, recycling, our carbon footprint, and energy efficiency](#). Thus, without the necessary training, they cannot contribute effectively. For example, our research staff need to be trained to ensure that they can develop new environmentally friendly lithium extraction and conversion techniques.

Drawbacks of sustainability training:

The importance of providing the sustainability training course does, however, [need to be balanced against the costs of doing so](#). The costs of providing the course for the proposed 100 employees would be P\$300k (P\$1,500 x 2 days x 100 employees). Thus, the benefits must outweigh the costs of it.

In addition to this, there is also the [cost of two lost working days](#) for each employee undertaking the training, which would cost P\$25k (= P\$125 x 2 days x 100 employees). Therefore, the total cost to Rotomyne for providing the training is P\$325k (= P\$300k + P\$25k). [The disruption would impact our operations too](#).

Recommendation:

Since Rotomyne's operating [profit was P\\$2,741m in 2024 and P\\$3,362m in 2023](#), the costs of providing the training are [relatively small](#) for a business of this size, so my recommendation is that [sustainability training should be provided to all staff](#).

Rotomyne operates in a high-profile industry with a high degree of risk and political and public scrutiny. This would be heightened by our DLE plant project. [The consequences of employees not acting in a sustainable manner or acting unethically may be very high, for example, in terms of loss of reputation and government action, such as fines or not being awarded lithium extraction licences](#). Providing sustainability training at relatively little cost may, therefore, be a very cost-effective course of action.

Example Answer for Task 3

Sub task 1 (a):

Free Cash Flow (FCF) method of valuation

An overview

The FCF method of valuation involves calculating a company's equity value by forecasting its future expected cash flows, and then discounting them to present value using an appropriate discount rate.

There are two slightly different, but equally acceptable, approaches:

First, the forecast cash flows could be the free cash flows to the equity holders (so they are stated after payments of interest to debt providers). Then, to calculate the value of the equity, we discount these free cash flows to equity holders using the company's cost of equity.

Alternatively, the forecast cash flows could be the free cash flows generated for all investors (so stated before payments of interest to debt holders and dividends to shareholders). Discounting these free cash flows to all investors using the weighted average cost of capital then gives the value of the whole company (both equity and debt finance). Subtracting the value of debt then leaves us with the value of equity.

Advantages of using the FCF method of valuation

As Andrey Prokhorov says in his email, the FCF method is theoretically the best valuation method. This is because it focusses on the concept of discounted cash flows, which identifies the wealth to shareholders that will be generated.

If we calculated the FCF valuation of Libebcnofne Co as (for example) P\$ 1,000 million, this means that owning Libebcnofne Co would generate P\$ 1,000 million of value for our shareholders.

This then helps us to identify the maximum amount we should be prepared to pay to acquire the target company. In this example, paying anything less than P\$ 1,000 million now to acquire Libebcnofne Co would give a positive net present value (NPV) transaction, and an overall increase in shareholder wealth.

Disadvantages of using the FCF method of valuation

The disadvantages of using the FCF method mainly relate to the difficulty of estimating the necessary input factors for the model. For example, it is very difficult to forecast the cash flows accurately. Libebcnofne Co presumably has many streams of revenues and categories of expenses. Forecasting all these accurately for a number of years in the future will be very difficult. And for how many years? Forever? Or should we stop at some point?

Furthermore, there would probably be some cost savings and / or revenue increases ("synergies") associated with the acquisition, but these are even more difficult to estimate before the acquisition has even taken place!

Forecasting the discount rate (cost of equity or weighted average cost of capital) is fraught with difficulty, and based on correctly being able to estimate the level of business risk and financial risk likely to be faced in the future.

Sub task 3 (b)

Actions for managing powerful stakeholders during acquisition process

The most powerful stakeholder groups will be our [own shareholders and the current shareholders of Libebcnofne Co](#), and therefore our focus should be on these as the key stakeholders in the acquisition process.

However, we must also consider the activities we need to manage [both senior management teams](#), the staff of both organisations and other stakeholders. Importantly, all of these stakeholder groups must have belief that the acquisition will be of benefit to them and to the organisation as a whole, both in the short and long term.

Shareholders

We must prioritise our activities and communication with both sets of shareholders [preacquisition](#). Since we have not yet agreed on the form of consideration for this acquisition, then the first activity we must undertake is [to obtain agreement on this critical issue](#).

Clearly, [negotiation will be needed on this](#), as one shareholder group may feel that they are benefitting less than the other in the acquisition process. Therefore, [we must present open and honest discussions with both sets of shareholders and enter into negotiations to reach a mutually beneficial agreement for both](#).

To do this we will need frequent [face-to-face meetings with senior management and owners](#). It may be wise for us to appoint a dedicated manager to take on the role of Communication Officer during this process to manage key stakeholder communications, [not just with the shareholders, but with all of the key stakeholder groups](#).

Management and staff

Another key stakeholder group is the management team (including Dr Krist Novoselic). It will be important to set out as soon as possible what will be expected of them post-acquisition and to ensure that they [understand their roles within a combined organisation](#).

Again, [open and frequent communication](#) pre-acquisition should allow for any concerns to be raised and addressed before the acquisition. Similarly, [periodic discussions with employees and communications through newsletters and management meetings with staff should be held to maintain the trust and loyalty of both sets of employees](#).

Other stakeholders

Given that the company manufactures mining separation machines at the moment, and that we intend to continue doing this after the acquisition, other stakeholders such as customers and suppliers will be unaffected by the change in ownership of the company in the short-term. To reassure them though, [it might be a good idea to send a letter to big customers and suppliers to explain what is happening](#).

Sub task 3 (c)

Reporting the acquisition in the Integrated Report

Long term impact of acquisition

If the acquisition goes ahead then this needs to be reported as part of our Integrated Report for the next reporting period. We will need to address this [within our Management Commentary](#), where we can provide our stakeholders with an overview of the rationale for the acquisition and our overall expected long-term outcome for the acquisition.

This will need to include an explanation for stakeholders of why we think [vertically integrating into mining machine manufacturing](#) is a good idea in the current competitive environment and how the acquisition of Libebcnofne Co would allow Rotomyne to meet increasing demand and improve its offering to clients.

[Not only investors, but all stakeholders](#)

We must bear in mind that our Integrated Report is designed to present information on our activities to all of our stakeholders, not just investors and therefore we need to consider how the decision impacts on stakeholders before we consider how it is reported in the Integrated Report. However, [it will be important to clearly highlight to shareholders who have supported us throughout the acquisition that they are now shareholders of the larger organisation and how this is helping us to further grow the business.](#)

[Value adding activities and risks](#)

We may want to consider including [details of the acquired business within our value creation model - particularly our intellectual capital](#). However, it may be difficult to assess any value adding activities or outcomes until after the integrated business has been in operation for some time.

We should also consider [our principal risks document](#). One key risk identified at the moment is that [Rotomyne faces “the risk of industrial accidents”](#). [Manufacturing and using machines that can quickly, safely and cheaply separate unprocessed ore into lithium and waste products should significantly reduce this risk](#). This will be a [positive message](#) to present in the integrated report, and will enable us to change the risk register to [reflect the reduced risk](#).